



कर्मचारी राज्य बीमा निगम
(श्रम एवं रोजगार मंत्रालय, भारत सरकार)
EMPLOYEES' STATE INSURANCE CORPORATION
(Ministry of Labour & Employment, Govt. of India)



मुख्यालय/HEADQUARTERS
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U-25/12/Miscellaneousmatter/2025/Med-V(E-1433186)/162 Date: 08-05-2026

To,
**Director (Medical) Delhi / Director (Medical) Noida,
Dean, All ESIC PGIMSR's, Medical & Dental Colleges
Medical Superintendents – All ESIC Hospitals,
Directors, ESI Scheme, All States**

Subject: Monitoring, Management, and Disposal of Near-Expiry, Expired, and Slow-Moving Medicines in ESI Hospitals-reg.

Sir/Madam,

With reference to the captioned subject and in continuation of earlier instructions issued by ESIC Hqrs. & Govt of India time to time, it has been observed that several ESI Hospitals are reporting expiry of several drugs/items in routine monitoring. It has further come to the notice that expired drugs/items are not being disposed-off in accordance with prescribed rules and regulatory provisions.

Therefore, in order to ensure effective inventory management, patient safety, and compliance with statutory guidelines, all ESI Hospitals/Institutions are hereby directed to strictly adhere to the following instructions, in terms of near expiry drugs/expired drugs/slow moving/non-moving drugs:

1. A mandatory monthly review shall be conducted by each Hospital/Institution, covering the following:

- o List of Near-Expiry Drugs.
- o List of Expired Drugs.
- o List of Non-Moving/Slow-Moving Drugs.
- Store In-charge/Pharmacist In-charge/Nursing Sister In-charge/In-charge of the respective store/sub-stores: To conduct monthly stock verification of their respective stores by 5th of every month.
- Mandatory prepare and maintain Expiry Monitoring Register (Non-Moving/Slow-Moving /Near-Expiry/Expired Drugs).
- Submit report to Competent Authority by 7th of every month.
- The Head of Institution shall act as the overall supervisor of this monitoring mechanism.

2. **Constitution of Drug Monitoring Committee (DMC):** Each Institutions/Hospitals shall constitute a DMC comprising:

- I. Deputy Medical Superintendent/Representative – Chairperson.
- II. Store Manager/Store Officer/Store In-charge/Medical Officer (Stores).
- III. Representative from User Departments/concerned specialties.

Scope/Functions of the Committee:

- At least one quarterly (or earlier as decided by competent authority as per requirement) review of the list of Near-Expiry/Non-Moving/Slow-Moving Drugs list.
- Recommend appropriate measures for optimal utilization, using the following

mechanism:

- I. Inter-departmental utilization within the Institution/Hospital.
- II. Inter Institution/Hospital utilization: Circulate lists to other ESI Institution/Hospital for utilization before expiry.
- III. The Pharmaceutical firms may be requested to replacement of near-expiry stock with stock of latest expiry, wherever feasible.
- IV. Make suggestion based on analysis to avoid stock out situation or expiry of medicines with special reference to Procurement control, reason for item suddenly becoming slow moving, analyze trend of consumption, expiry, overstocking, alignment with formulary, Prescription practices etc.

Based on the reports and recommendations of the Committee, the concerned Stores shall implement the approved **Corrective and Preventive Actions (CAPA)** after obtaining due approval from the Competent Authority.

3. Expiry of Drug/Medicines: In case, the items expired even after making all the above mentioned measures/efforts, the same should be transferred to Hospital Store/Central Store.

Expired drugs shall be kept separately in a sealed container/box, clearly marked in red ink and labeled as **"EXPIRED DRUG/MEDICINES – NOT FOR USE"**.

4. Condemnation of expired drug (Refer Rule 217, Form GFR 10 of GFR-2017):The Hospitals/Institutions are required to compile data of expired drugs per **"Annexure-B"** (as attached) along with the consolidated report.

The Competent Authority shall constitute a Condemnation Committee as mentioned below:

- I. Deputy Medical Superintendent/Representative – Chairperson.
- II. Store Manager/Store Officer /Store In-charge/Medical Officer (Stores).
- III. Two Specialist from any department.
- IV. Dy. Director Finance/Representative from Finance & Accounts Division (Local Unit).

The Committee will examine and deliberate on all the issues pertaining to the condemnation of expired drugs/items.

After addressing, inter-alia, the issues mentioned under Annexure-B, the Committee will submit its recommendation. On the recommendation of the committee, the drugs/items shall be write off after getting approval of the Competent Authority and concurrence of Local Finance and Accounts Division (Refer Rule 223 (1) of GFR-2017). Similarly, in case of damage and medicine becoming unusable due to any reason (NSQ drug, Banned Drug etc.), a write-off can be considered.

In this regard, a detailed report, including justification and comments of the Competent Authority, shall be submitted to ESIC Headquarters on disposal. Responsibility shall also be fixed in cases of negligence.

5. Disposal of expired drug (Refer Rule 218 of GFR-2017):Before disposal of drugs/items, proper segregation shall be carried out in accordance with applicable guidelines (Expired/ unused/ damage/ NSQ/ banned/ Cytotoxic/ Radioactive/ Controlled substances etc.).

All drugs/items identified for disposal shall be stored securely in designated areas with proper labeling.

The guidelines on disposal of expired/unused drugs, as issued and circulated by the Central Drugs Standard Control Organization under the Directorate General of Health Services, Ministry of Health & Family Welfare, Government of India, vide letter F. No. E-22967 dated 26th May 2025 for "**Government / Private Hospitals / Government Agencies**" shall be strictly followed for all disposal activities to ensure regulatory, compliance and environmental safety and the record to be maintained as per "**ANNEXURE-A**" (as attached).

6. Miscellaneous:

I. Definitions:

- i) **Near Expiry Drugs:** Drugs with remaining shelf life of **less than 4 months**.
- ii) **Expired Drugs:** Drugs that have crossed the expiry date.
- iii) **Slow-moving Drugs:** Drugs with low consumption rate over a defined period such that it may not be utilized before expiry.
- iv) **Store-** Medical store- set -A, B, C and D etc.
- v) **Sub Stores -** OPD Pharmacy, All indenting stores like OPD/emergency stores with nursing in charges, nursing stores of various indoor departments etc.

II. Monthly Physical Verification- It is again reiterated that each Hospital/Institution shall mandatorily conduct monthly physical verification of Medical Stores and OPD pharmacy. A minimum of 40 items in each store shall be physically verified. Proper records of the verification shall be maintained specifying short/surplus/mismatch of batches/expiry/near expiry etc.

III. Annual Physical Verification- Each Hospital/Institution shall mandatorily conduct Annual physical verification of all Stores and Sub-stores. Maintain record of the verification specifying short/surplus/mismatch of batches/expiry/near expiry etc.

IV. Adherence to FIFO / FEFO Principles: Each Hospitals/Institutions shall strictly adhere to the FIFO (First-In, First-Out) and FEFO (First-Expiry, First-Out) principles, as applicable, in the storage, issue, and utilization of drugs/items.

This is issued for kind consideration and strict compliance please.

This is issued with the approval of the Competent Authority.

Warm Regards,

Enclosures: As above

Digitally signed by
Sanjiv Kochhar
Date: 11-05-2026
16:25:18

Dy. Medical Commissioner
(Rate Contract)

Copy to:

- 1. All Zonal Medical Commissioners for information please.
- 2. Website Content Manager for uploading on ESIC HQRS Website.
- 3. Guard File.

ANNEXURE-A**Records to be maintained by the Medical Store/Hospital/Institution**

Sr. No.	Date	The name and address of the licensee /hospital /institution who returns the drug	The name and address of the licensee to whom the drugs are return.	Product Name	Batch/ Lot No	Exp Date	Qty For disposal	Date of transfer to next level, if any	Reason for disposal/ Remark	Signature



Documents/information to be provided to Condemnation committee by Medical Store

S. No.	Checklist
1	Inventory details (Item Description, Quantity, Batch No., Mfg. date & Expiry Date). If DG- ESIC Rate Contract Drugs- Mentioned RC No. & Item Code.
2	Date of Purchase along with Quantity
3	Name of Pharmaceutical firm/s
4	Unit cost
5	Computer generated MIS report with all details of the drug/s
6	Documentary proof of efforts taken to utilize the near expiry drug
7 (a)	Details of quantity recommended in the Medicine Scrutinizing Committee (MSC) for the said item/s with photocopy
7 (b)	Quantity procured during the period
8	Details should be provided with all relevant documents duly attested by the Store In-charge.

